LSEG (LSEG LN): Long

The rest of LSEG costs less than FactSet

Tobenna Agubuche | 27 October 2026 | Price 9,510p (close 23 Oct) | Market cap c.£46bn | Target 10,414p (+9.5%)

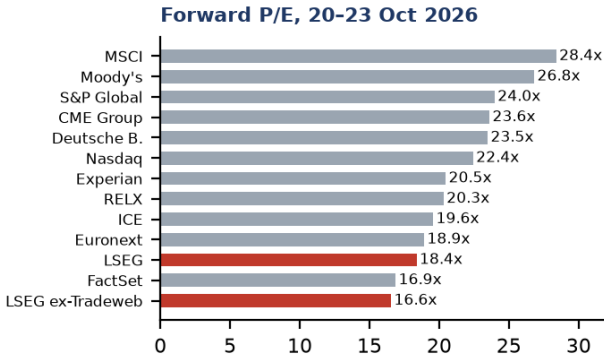
Method	Value per share	vs price
Price target (50% DCF, 50% sum of the parts)	10,414p	+9.5%
Sum of the parts, peer forward P/E by division	11,484p	+21%
DCF, base case (conservative beta, volumes normalised)	9,343p	-1.8%
Bear / bull case (DCF)	6,724p / 11,643p	-29% / +22%

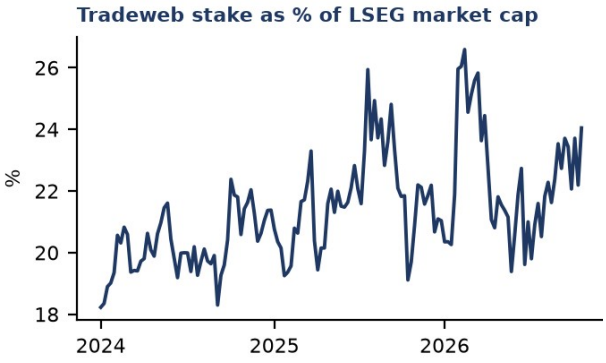
The call

Long at 10,414p, the equal-weight average of the corrected 9,343.48p base DCF and 11,484.29p peer SOTP. The 9.5% upside rests on the peer discount and stable data demand; DCF alone is 1.8% below the reference price. These are method weights, not scenario probabilities.

LSEG owns 51.2% of Tradeweb, which is listed in New York. At market value that stake is worth about £11.0bn, or 24% of LSEG's market cap, up from 18% in January 2024. Take it out, along with Tradeweb's share of forward earnings, and the rest of the group trades on 16.6x forward earnings. That is below FactSet (16.9x), the stock most exposed to the idea that AI replaces terminals. The data and analytics peers trade on a median of 20.4x.

The market value of LSEG excluding Tradeweb has fallen about 12% since January 2024, while group adjusted EPS will be about 52% higher in 2026 than in 2023. The rest of LSEG includes FTSE Russell, LCH clearing, Risk Intelligence, the London equity market and a data feeds business that grew 7.5% in Q3. On its own history, LSEG trades on 19.8x trailing earnings against a five-year average of 25.3x.





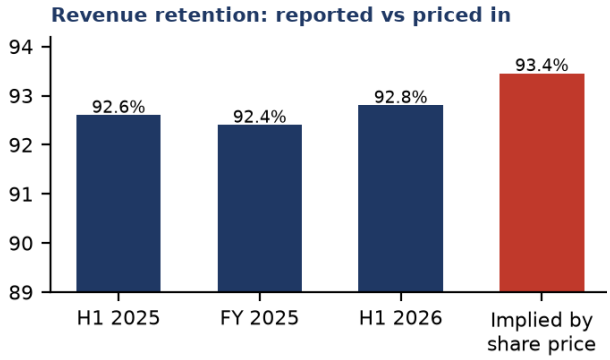
The valuation case and its limits

The price requires better retention. Reported retention rose from 92.4% in December 2025 to 92.8% in June 2026. The corrected reverse DCF needs 93.45% from 2027, 0.65 percentage points above reported retention, with other inputs fixed. The price does not imply AI-driven churn. The long depends on peer valuation and improving retention, not a churn cushion.

Industry data points the same way. Global market data spend rose 6.5% to $49.2bn in 2025 (Burton-Taylor) and is expected to grow another 7% in 2026 (Expand Research). A Coalition Greenwich and SIX study of 73 institutions, published this month, expects AI to push data spending up by more than 50% by 2027. Substantive Research found AI-related charges of $30k to $1m in 2026 vendor proposals, while research budgets rose only 0.4%. Money is moving from people and screens to data and licensing, which is where LSEG is growing: Data & Feeds +7.5% in Q3, Workflows +2.8%.

Even FactSet is not losing customers. Its organic ASV grew 7.0% in the year to August with retention above 95%, and AI products more than doubled. That supports LSEG's data business. It is also why I prefer an outright long to a pair against FactSet: LSEG has already beaten FactSet by about 53% in sterling since January 2024, and FactSet short interest is about 9% of float.

Cash returns are about 10% of the market cap between January 2026 and February 2027, funded by equity free cash flow of at least £2.8bn. Octus ($3.5bn, debt-funded) adds private and distressed credit research that a model cannot scrape.





Why now

- Hedge fund short exposure to stocks is near a five-year high on Goldman Sachs prime brokerage data, with the selling concentrated in tech. A crowded trade can unwind quickly on one good data point.
- FY2026 results in late February 2027 bring 2027 guidance, the 2027 buyback (£1.0bn to £1.5bn signalled) and the next retention figure.
- Elliott, which disclosed a stake in February, is pushing for portfolio changes. The Tradeweb stake is the obvious part to price.

Model and assumptions

2026 is nine months of reported income plus a Q4 estimate. From 2027, subscription income runs off ASV growth (gross sales plus price, minus churn), and Markets lines run off Tradeweb volume, SwapClear notional and collateral. 2026 was a peak year for volumes, so the base case holds them flat in 2027.

£m unless stated	2025A	2026E	2027E	2028E
Income excl. recoveries	8,986	9,639	10,234	10,762
Adjusted EBITDA	4,523	4,964	5,273	5,586
Adjusted EPS (p)	420.6	490.8	537.6	585.6
Consensus EPS (p)		480.6	550.9	615.5
Net debt / EBITDA	1.7x	1.8x	2.2x	2.1x

I use a beta of 0.85 against an observed 0.41 (Blume-adjusted 0.60), because a FTSE 100 heavy in energy, miners and banks understates LSEG's exposure to market activity. At 0.60 the DCF gives 12,753p; at 1.00, 7,880p. WACC is 8.3%, terminal growth 3.0%, and the Tradeweb minority is deducted at market value.

What would make me wrong

- Retention fails to improve towards 93.45% or ASV growth drops under 5%.
- Markets volumes fall rather than flatten in 2027.
- Tradeweb de-rates. The stub argument depends on its 28x multiple.
- Another large acquisition before leverage comes back down from 2.2x.

Prices and multiples are dated 20 to 23 October. Octus margin and close timing are assumptions. Reverse DCF varies retention alone and is not a forecast.

Model, data pipeline and sources: github.com/Tobenna30/finance-models

For discussion only. Not investment advice. Sources: LSEG FY2025 results, H1 2026 report, Q3 2026 update and IR consensus; Tradeweb 10-Q (30 Jun 2026); FactSet Q4 FY2026 8-K; Burton-Taylor via FOW (Apr 2026); Expand Research and Substantive Research via A-Team Insight (Oct 2026); Coalition Greenwich and SIX (Oct 2026); Goldman Sachs prime brokerage data via 24/7 Wall St.; prices from Alpha Vantage, Yahoo Finance and stockanalysis.com (20 to 23 Oct 2026).